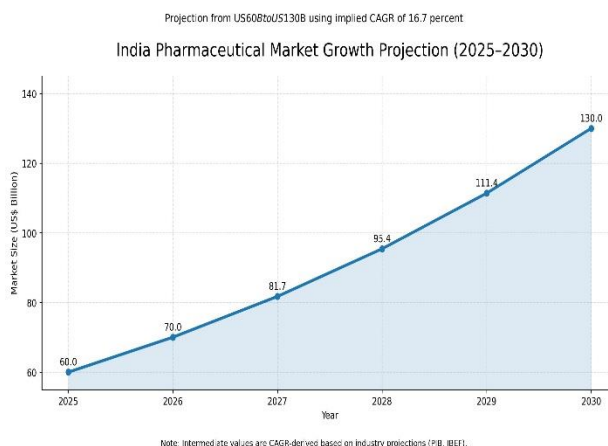

Nifty Pharma || CMP-26,710 || Market Cap-₹ 20.85 lakh Cr || 52 Week H/L (₹)-27,188/21,150 || PE-41.15

Introduction

Over the years, the Indian pharmaceutical industry has evolved into a vibrant sector, currently ranked third in pharmaceutical production by volume and 14th in terms of value. The industry has grown at a CAGR of 9.43% over the past nine years and contributes around 1.72% to India's GDP.

Key segments of the industry include generic drugs, over-the-counter medications, bulk drugs, vaccines, biosimilars, biologics, and contract research and manufacturing.



India's domestic pharmaceutical market, in FY26 valued at Rs. 5.30 lakh crore (\$ 60 billion), is projected to more than double to Rs. 12.47 lakh crore (\$ 130 billion) by 2030, driven by strong manufacturing capabilities, expanding exports, policy support and India's leadership in generic medicines and vaccines.

Strategic Industry Shifts

Cutting Pipelines & Capital: Major players are cutting simple small-molecule generic pipelines. They are reallocating capital into complex biologics, biosimilars, and next-generation mRNA platforms. Capital is flooding into high-risk, high-reward therapeutic categories like GLP-1 metabolic/obesity drugs, targeted oncology (such as HER2 agents), and rare orphan diseases.

Biocon is moving beyond traditional small-molecule generics toward higher-complexity therapies. Biocon has built a significant biosimilars franchise spanning oncology, immunology, diabetes and ophthalmology, including trastuzumab for HER2-positive cancer. The company is also expanding into GLP-1 peptide generics and has commissioned dedicated injectable manufacturing capacity for GLP-1 products. In 2026, Biocon Biologics announced plans for additional oncology biosimilars, including trastuzumab SC, nivolumab and pembrolizumab.

GCCs: Multinationals are deploying fully functional Global Capability Centers (GCCs) in scientific talent hubs like India, turning overseas offices into core drivers for enterprise-wide digital transformation and regulatory operations.

Generative AI: AI platforms are tied directly into digital Quality Assurance and Quality Control (QA/QC) architecture, anticipating supply line friction and keeping regulatory documentation completely airtight.

China Plus One Strategy: Western innovators are systematically diversifying their raw material networks away from single-source hubs to mitigate sudden cross-border macro shocks.

Generic Share: Indian pharmaceutical companies hold a significant share in the prescription markets of the US and EU, with India hosting the largest number of FDA-approved manufacturing plants outside the US. Globally, India is a major supplier of generic medications, providing 20% of the worldwide supply by volume and fulfilling around 60% of global vaccination demand.



AI in Pharma

Indian drugmakers are increasingly using AI in R&D to lower costs and shorten drug development timelines, strengthening productivity and global competitiveness.

Cost Improvement

India's pharmaceutical sector is improving cost efficiency through strong policy support and technology adoption. A government release dated February 2, 2026, announced the Biopharma SHAKTI initiative (₹ 10,000 crore) to boost domestic biopharma capabilities, reduce import dependence, and enhance efficiency.

Policy Support

PLI scheme: ₹ 15,000 crore (\$ 2.04 billion) outlay (2020-21 to 2028-29) to boost manufacturing, investment, and product diversification.

On December 5, 2025, India announced a ₹ 60,000 crore (\$ 7 billion) API-push to boost domestic pharmaceutical manufacturing and cut import dependence.

The article (January 16, 2026) states that policy reforms like GST 2.0 and revised Schedule M are boosting efficiency and quality, supporting India's pharma growth, with the sector expected to expand 7-9% in 2026.

Investments

The Drugs & Pharmaceuticals sector received FDI inflow of ₹ 1,59,102.60 crore (\$ 25.33 billion) from April 2000-March 2026.

In July 2025, Cipla has acquired a 20% stake in Bengaluru based iCaltech innovation aiming to strengthen its respiratory devices and diagnostic portfolio.

As of February 2025, Parexel a biopharma company from the US, plans to add over 2,000 employees in India over the next five years.

Sanofi announced its plans to invest \$ 435 million over the next six years to expand its global capability centre (GCC) in Hyderabad, India by increasing the headcount and further developing the facility.

Japanese companies have been invited to invest in the Indian Pharmaceutical & Medical Device Industry. The cooperation between Pharmaceutical Traders Association and Japan Federation of Medical Devices Associations of the two countries can contribute to stabilize the global supply-chain especially of APIs & Medical Devices.

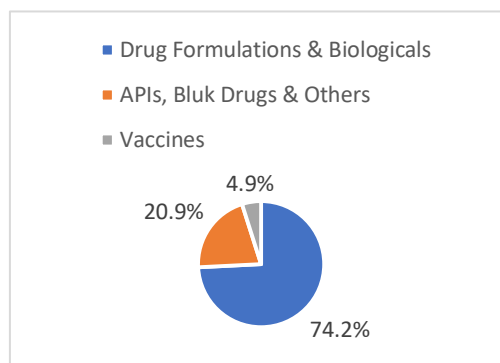
Exports

The pharmaceutical exports from India reach more than 200 nations around the world, including highly regulated markets of the USA, West Europe, Japan, and Australia. India supplied around 45 tonnes and 400 million tablets of hydroxychloroquine to around 114 countries globally.



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India's pharmaceutical exports surpassed ₹ 2.73 lakh crore (\$ 31 billion) in FY26, demonstrating the sector's resilience despite global headwinds. Drug formulations and biologicals remained the largest export segment at ₹ 2.03 lakh crore (\$ 23.08 billion), accounting for 74.2% of total exports, while vaccine exports grew 26.4% to ₹ 13,255.50 crore (\$ 1.5 billion), the fastest-growing category, reinforcing India's position as a leading global pharmaceutical supplier.



As of September 2025, India plans to boost pharmaceutical exports to Russia, the Netherlands and Brazil, leveraging its existing manufacturing capacity to grow into newer markets by about 20% while already counting the United States, the United Kingdom, Brazil, Netherlands and Russia among its key export destinations.

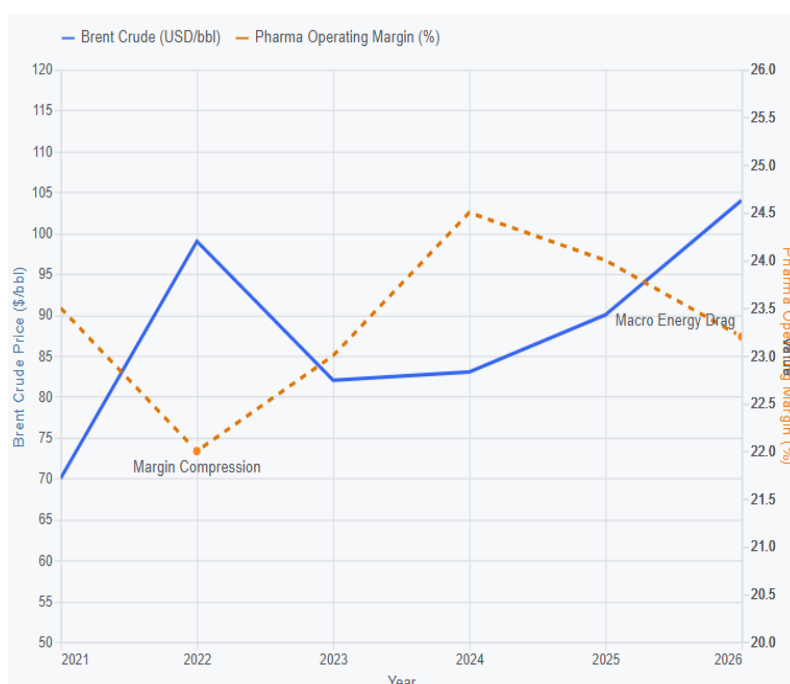
Oil Prices Vs Profitability

While pharma is not typically classified as an energy-intensive industry like airlines or paint, crude oil impacts its bottom line through several critical vectors.

Raw Material Costs: Active Pharmaceutical Ingredients (APIs), key starting materials (KSMs), and chemical solvents (like chloroform or benzene) are heavily dependent on petroleum derivatives. When oil prices surge, the cost of manufacturing base drugs like Paracetamol or Erythromycin can experience double-digit spikes.

Expensive Packaging: Most primary and secondary drug packaging relies heavily on plastics, polymers (like HDPE and PVC), and aluminium foil. Petroleum price increases directly translate into higher overhead for blister packs, pill bottles, and medical containers.

Freight & Supply Chain Pressures: Global shipping and domestic transport rely on diesel and aviation fuel. Elevated crude prices squeeze operating margins by inflating freight rates and expanding working capital cycles due to delayed or more expensive shipments.



SWOT Analysis

Strengths

Strong export capability-Indian companies supply medicines to a large number of international markets.

Established domestic market-large population, increasing healthcare expenditure and rising medicine consumption.

Growing capabilities in biosimilars and complex generics.

Strong capabilities in APIs, formulations and vaccines.

Weakness

Dependence on imported APIs/KSMs-particularly from China for several critical pharmaceutical inputs.

Regulatory dependence-USFDA, EMA and other regulators can impose compliance requirements, remediation costs or import restrictions.

Commodity/raw-material exposure-some inputs are linked to petrochemicals and imported intermediates.

Opportunities

GLP-1/obesity therapies-rapidly developing metabolic-health market creates opportunities in peptides and complex injectables.

Biosimilars-patent expiries of biologic drugs create opportunities for Indian manufacturers.

Biologics, mRNA and advanced therapies-opportunity to move toward higher-value pharmaceutical products.

Government support-PLI schemes and initiatives aimed at increasing domestic API and high-value pharmaceutical manufacturing.

Threats

Regulatory risk-manufacturing observations, warning letters and recalls can disrupt exports.

China dependence-disruption in APIs/KSMs can affect production and costs.

Currency volatility-large exporters face ₹/\$ and other FX fluctuations.

Raw-material inflation-increases in chemical, energy and logistics costs can pressure margins.

